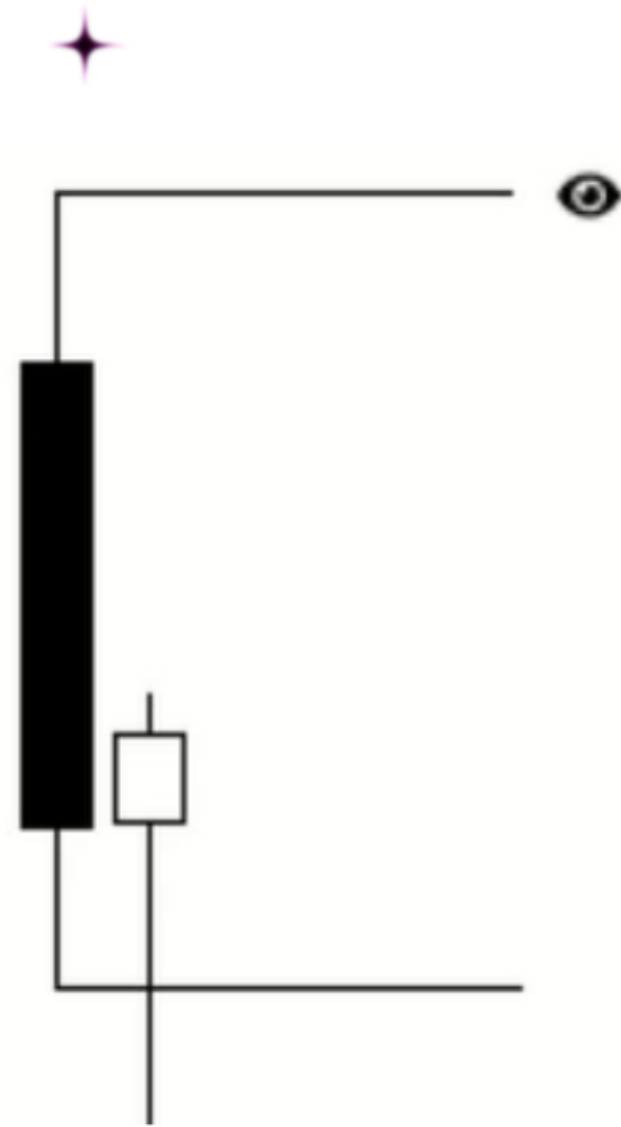




How to determine DOL

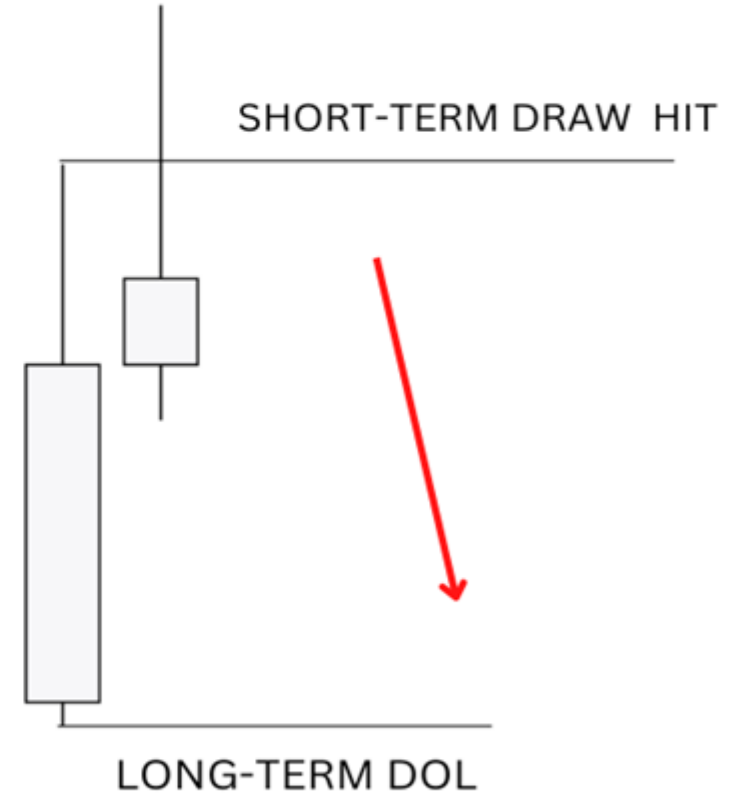
**WITH A COMPLETE
EXPLANATION**

@Im-speculator



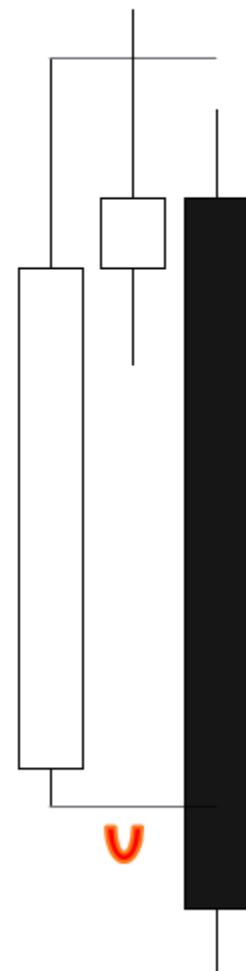
Draw on Liquidity (DOL)

- Draw on Liquidity (DOL) is a crucial concept in trading, It refers to how the market targets liquidity pools, typically located at highs, lows, and around key price levels. Understanding DOL helps traders anticipate price movements and make informed decisions.
- This is the most important aspect of your analysis and should be your first priority in the trading.



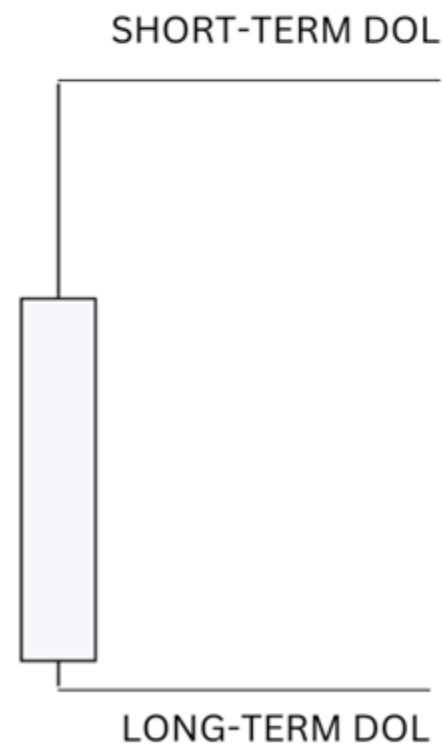
Importance of (DOL)

- Understanding Draw on Liquidity is crucial because it helps traders anticipate market moves by identifying key price levels where liquidity pools, such as swing highs and lows, accumulate. These levels often act as magnets for price, and recognizing them improves trade timing and risk management. DOL also reveals where institutional traders might step in, allowing retail traders to align with smart money. Additionally, knowing where liquidity is drawn helps avoid common traps like stop hunts, avoid unnecessary setups,



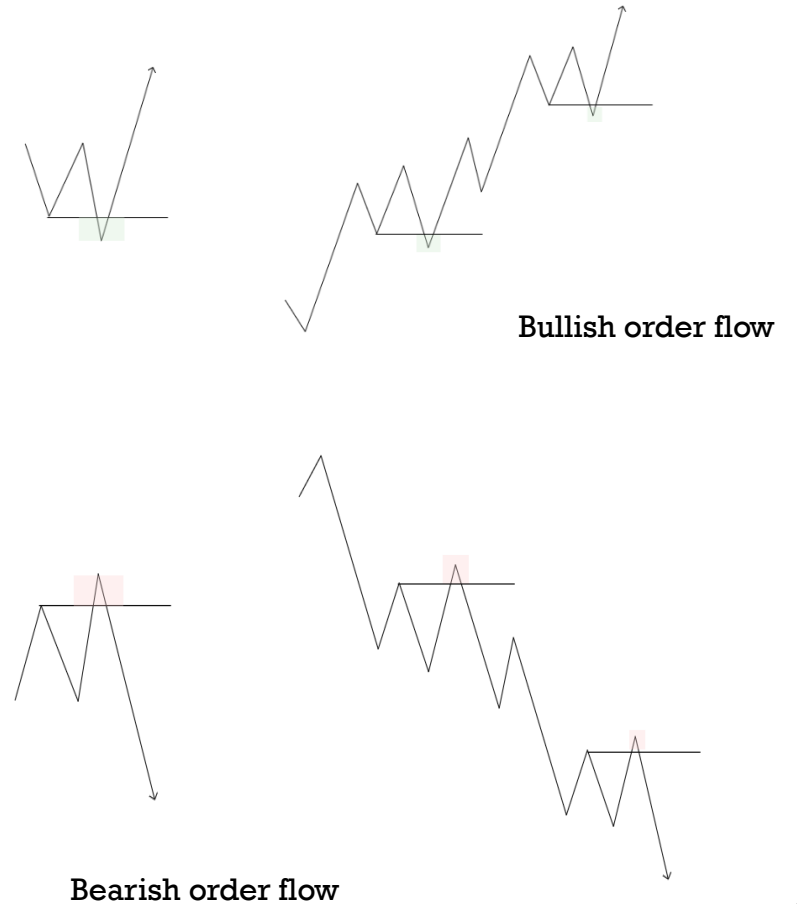
Types of (DOL)

- **Short-term draw on liquidity** : Short-term draw on liquidity helps you identify where retracement profiles or shorter moves could end. It is used to determine where the market is initially drawn to in the immediate price action
- **Long-term draw on liquidity** : Long-term draw on liquidity is about major moves and expansions. It helps you see where price is heading in the bigger picture, beyond immediate market reactions. This is used for understanding where price is likely to go as part of a broader narrative, guiding larger moves over higher timeframes, like daily, weekly, or even monthly.



Order flow

- To determine DOL , first you all must know about order flow.
- Order flow is very important for determining the DOL. If you understand order flow correctly, then you can easily determine the DOL.
- Breaking above highs and rejecting below lows = bullish order flow
- Breaking below lows and rejecting above highs = bearish order flow

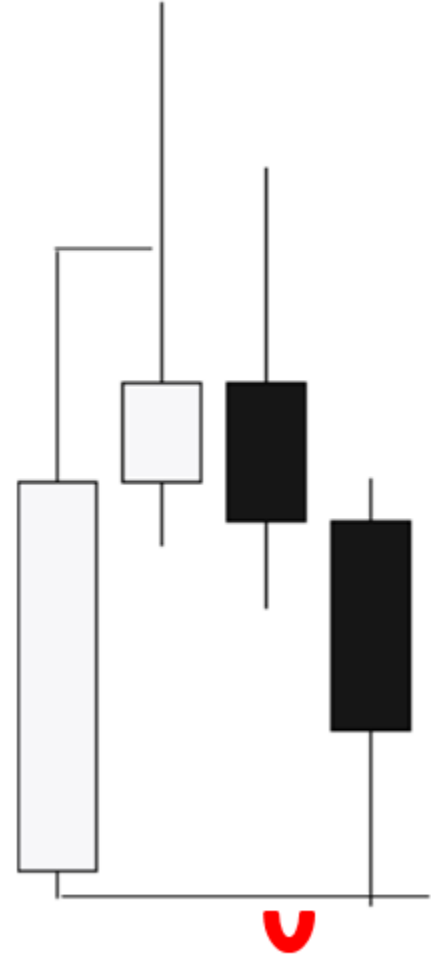


Draw on Liquidity (DOL)

- It can be the following different forms :

1. Candle Range High and Low :

DOL in the form of CRT helps traders anticipate price movements more accurately, enabling them to take advantage of liquidity draws.



1.

Candle Range High and Low

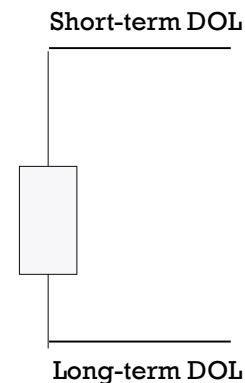
7

Order flow = bearish

1. Candle = generation of liquidity

First candle generates liquidity for us and provides two liquidity areas one CRT high and one CRT low.

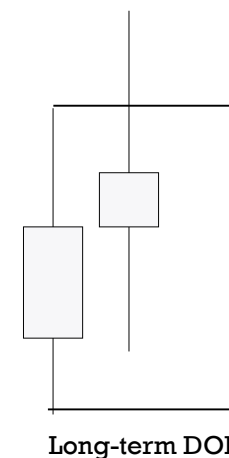
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2. Candle = purging of liquidity

The order flow is bearish, we have a short-term DOL at the CRT high, and we can expect the market to form a retracement profile and hit the short-term DOL, which is our CRT high

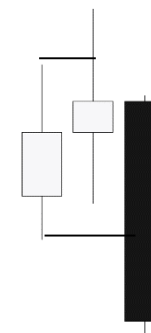
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3. Candle = neutralization of liquidity

when the second candle closes inside then we will change our DOL to the CRT low, which is our long-term DOL and expect expansion profile

=



1. Candle Range High and Low

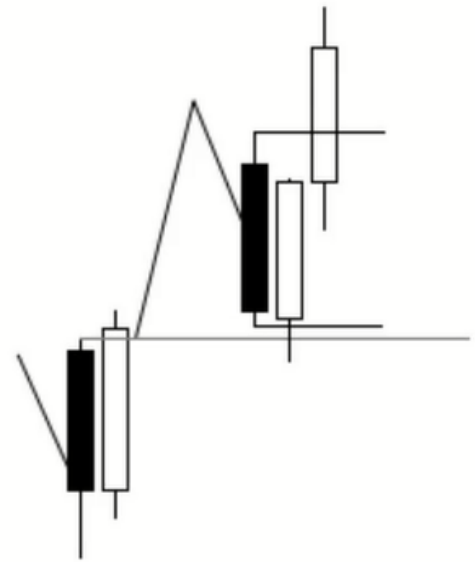
Order flow + CRT

1. Short-term DOL = 1st candle

low if order flow is bullish

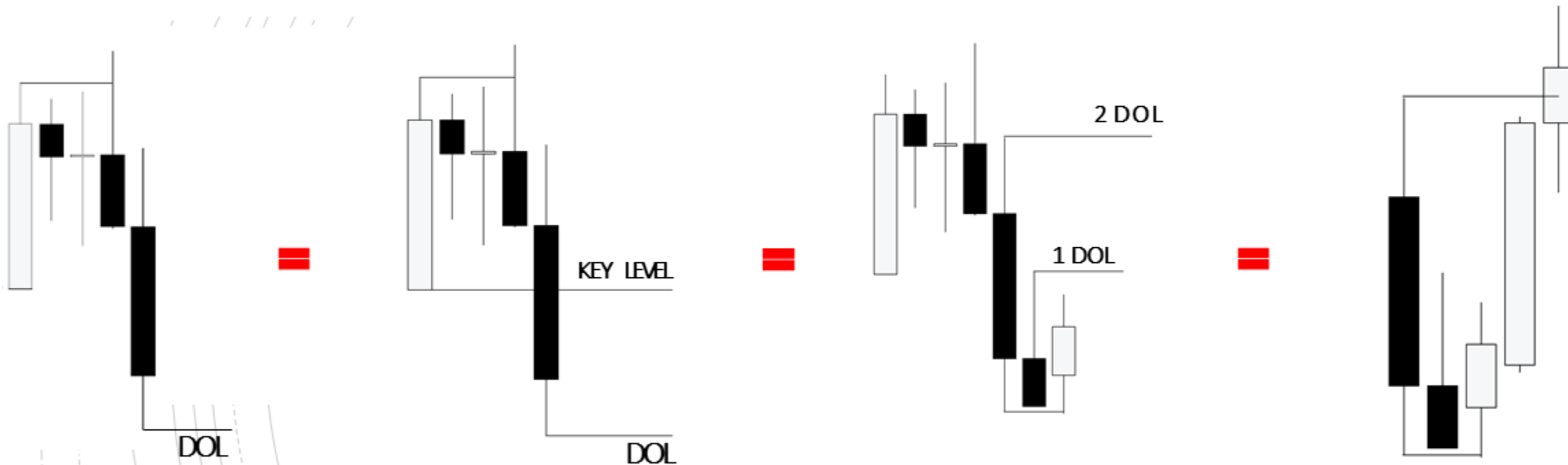
2. Long-term DOL = 1st candle

high if order flow is bullish



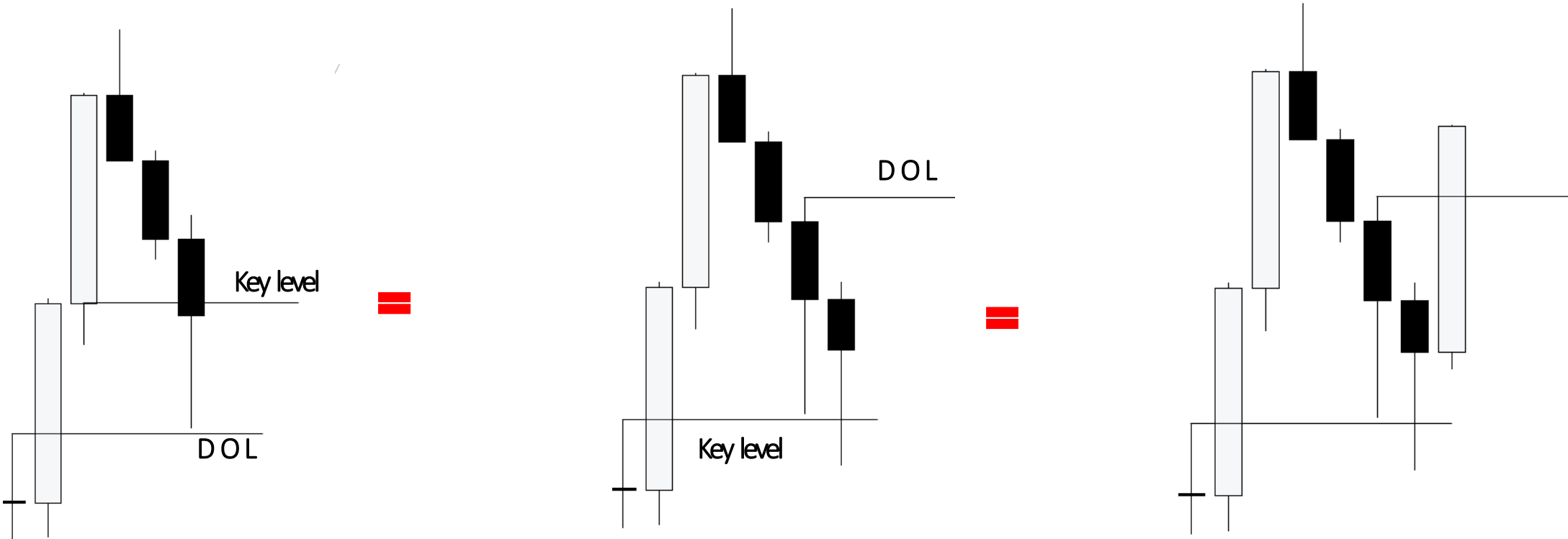
Orderflow + key level + CRT

Orderflow = bullish 1



Order flow + key level + CRT

Order flow = bullish 2



Draw on Liquidity (DOL)

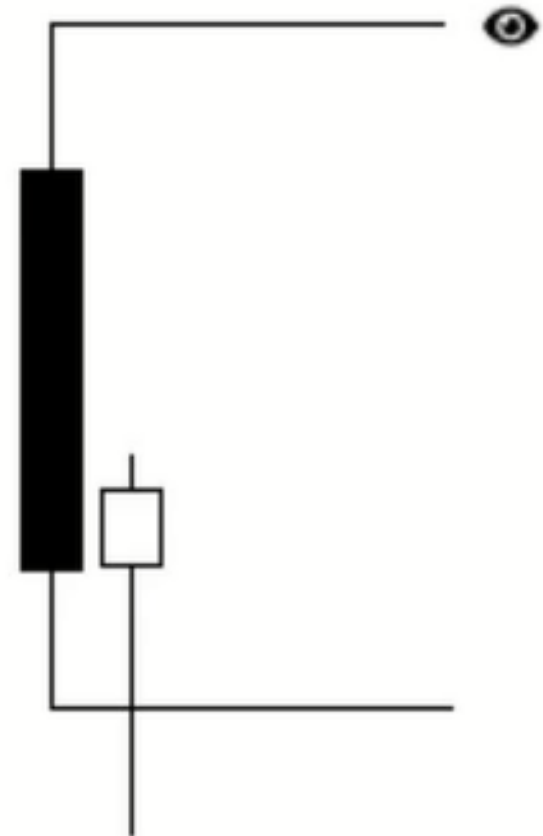
- It can be the following different forms :

2. Previous (day/week) high and low :

Previous day/week high and low are liquidity level that can be used as a

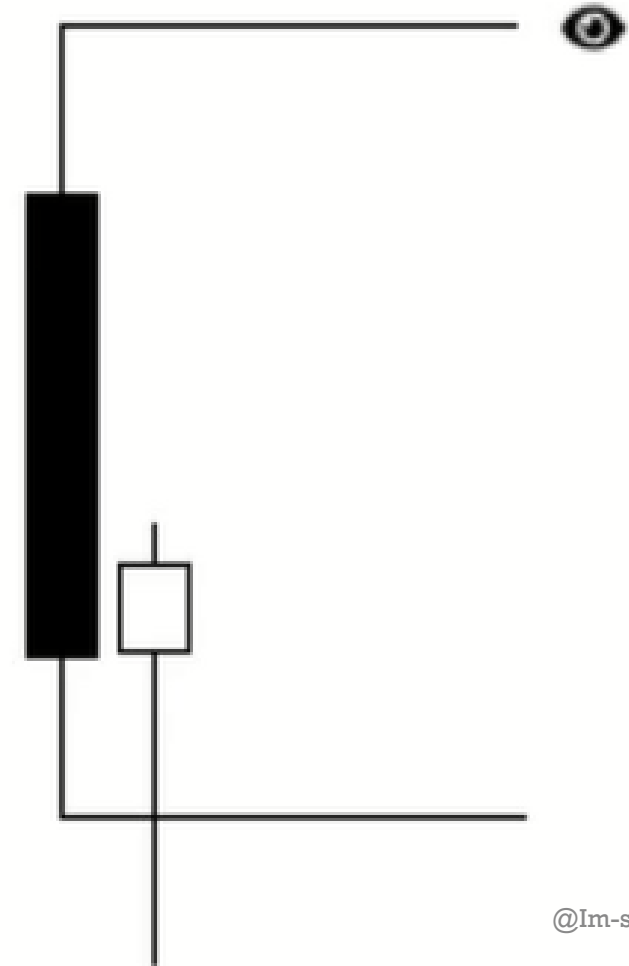
Draw on Liquidity.

One of the easiest ways to determine draw on liquidity.



2. Previous day/week high and low

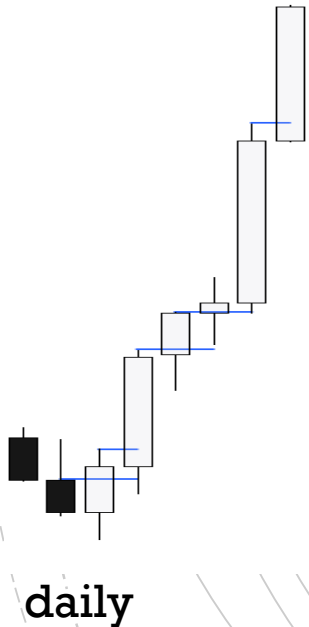
- 1- Close above = Higher prices
- 2- Close below = Lower prices
- 3- Wick above = Lower prices
- 4- Wick below = Higher prices
- 5- Close inside = lower price (if market is bullish)
- 6- Close inside = higher price (if market is bearish)



2. Previous day/week high and low

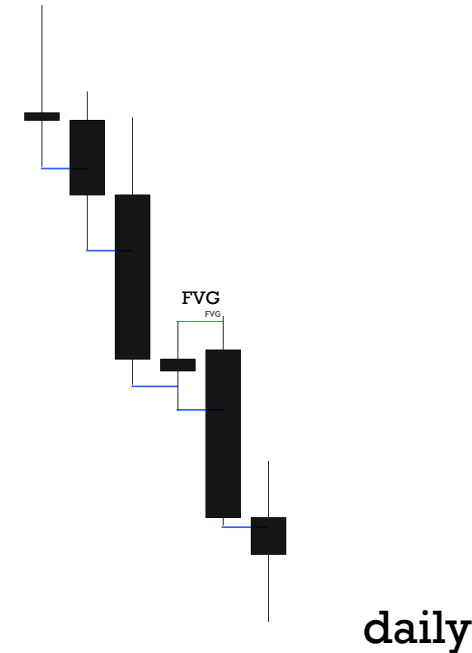
1- Close above = Higher prices

- If the daily candle closes above the previous candle, your next DOL will be the previous day high.



2- Close below = Lower prices

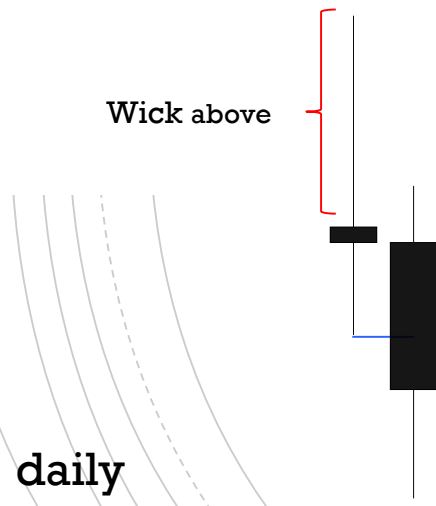
- If the daily candle closes below the previous candle, your next DOL will be the previous day low



2. Previous day/week high and low

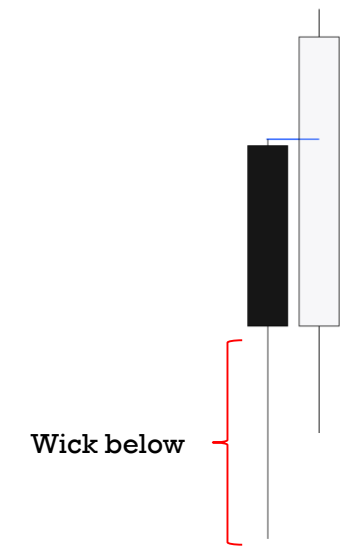
3- Wick above = Lower prices

- If the daily candle closes with a large wick, we can expect a lower price , and our DOL will be the previous days low.



4- Wick below = Higher prices

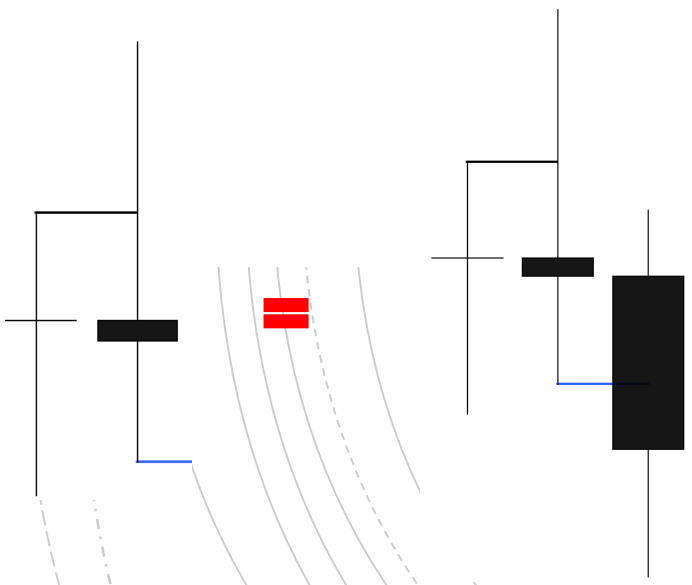
- If the daily candle closes with a large wick, we can expect a higher price , and our DOL will be the previous days high.



2. Previous day/week high and low

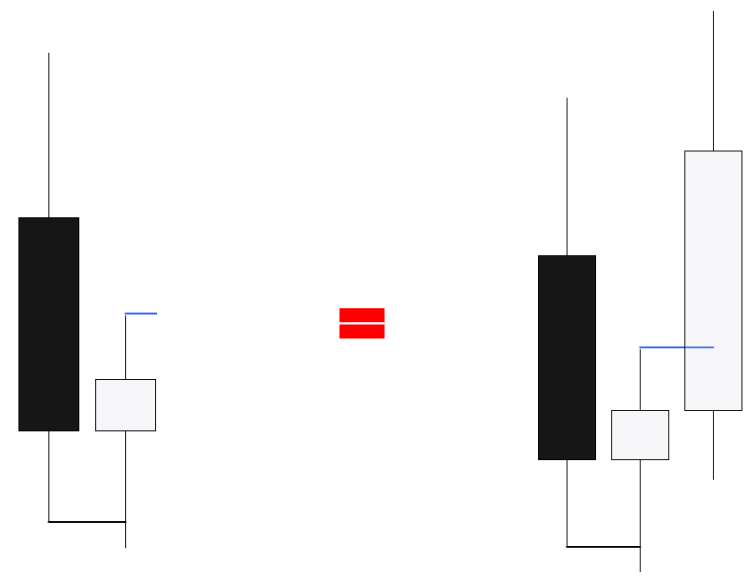
5- Close inside = lower price (if market is bullish)

- If the daily candle closes inside the previous daily candle , we can expect a lower price , and our **DOL** will be the previous days low.



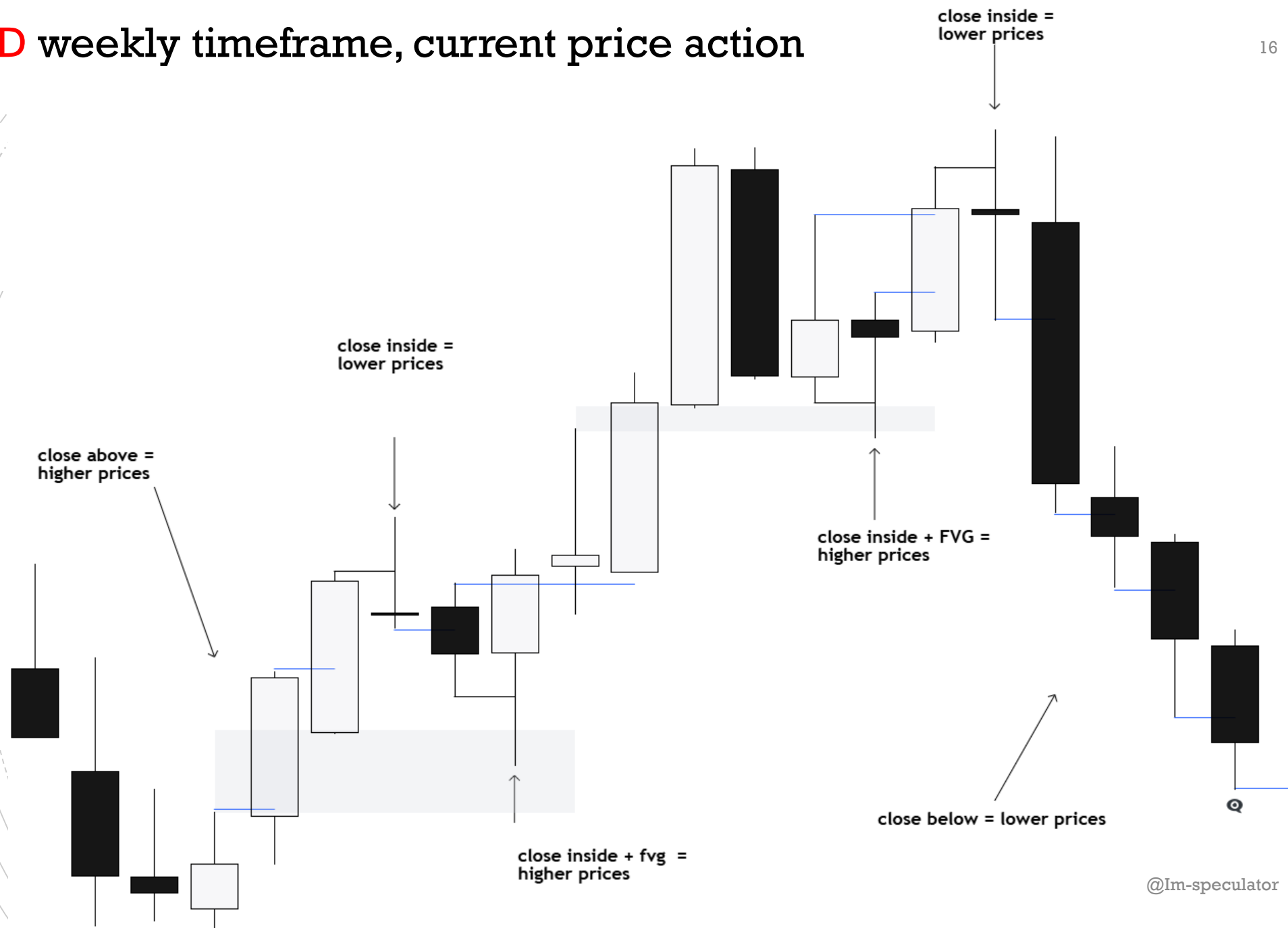
6- Close inside = higher price (if market is bearish)

- If the daily candle closes inside the previous daily candle , we can expect a higher price , and our **DOL** will be the previous days high.



EURUSD weekly timeframe, current price action

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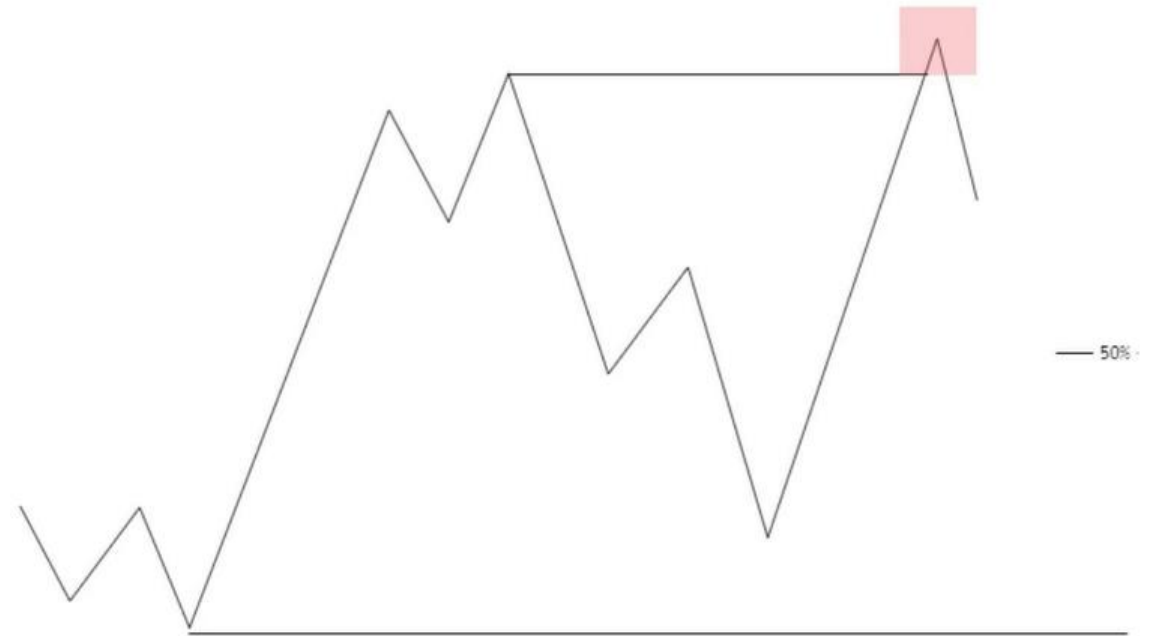


Draw on Liquidity (DOL)

- It can be the following different forms :

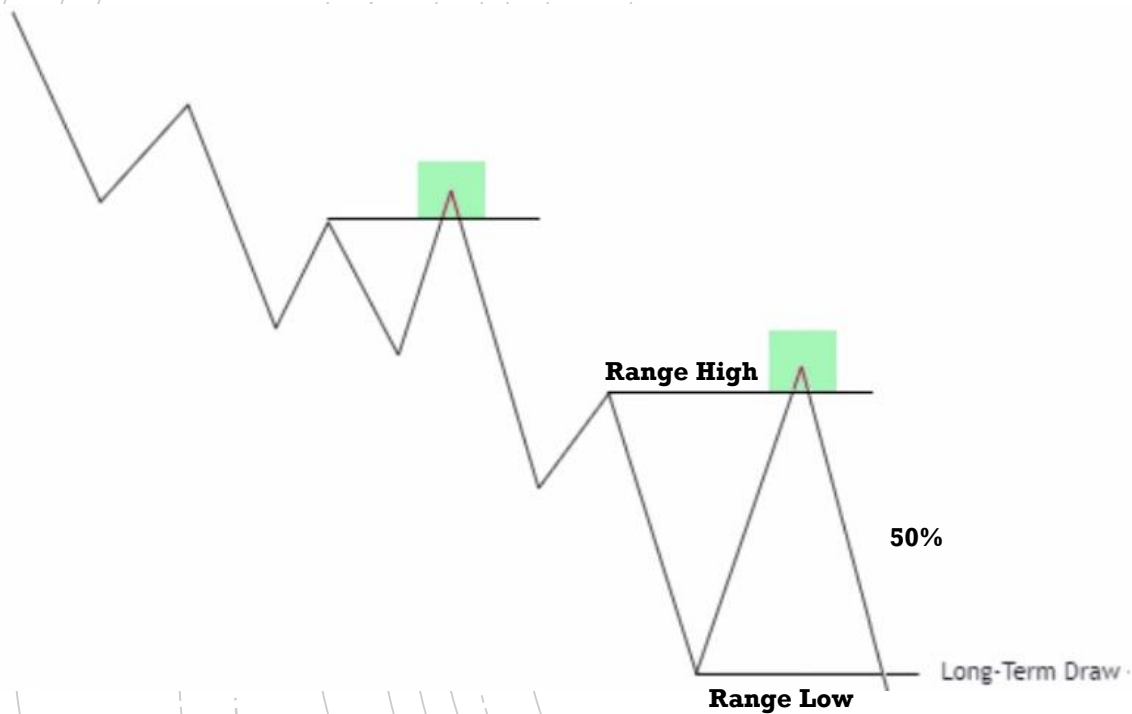
3. Range dynamics :

Range dynamics are pretty simple. You just need to identify the correct range, mark the range high, range low, and the 50% level of the range . Your first draw on liquidity is the 50% level of the range, and the second is the high or low of the range.



Draw on Liquidity (DOL)

Range + bearish order flow



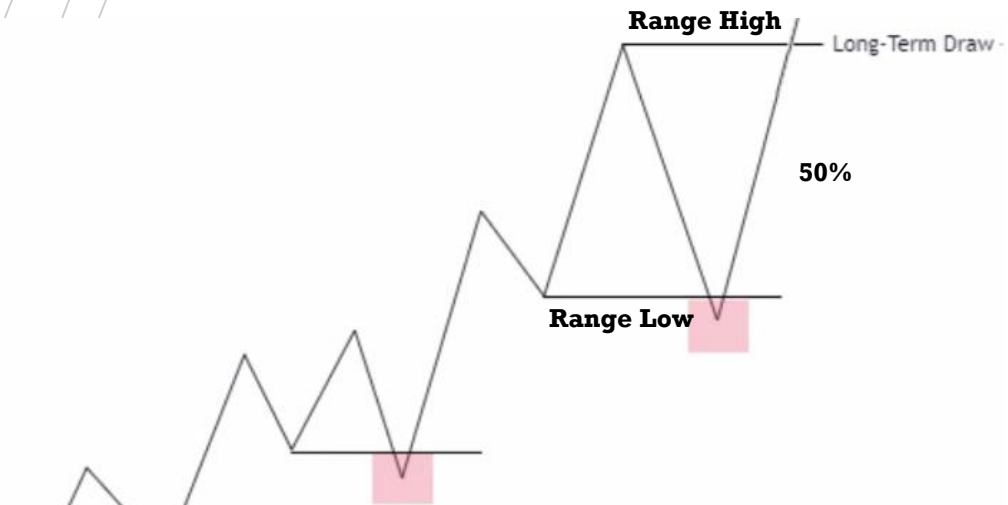
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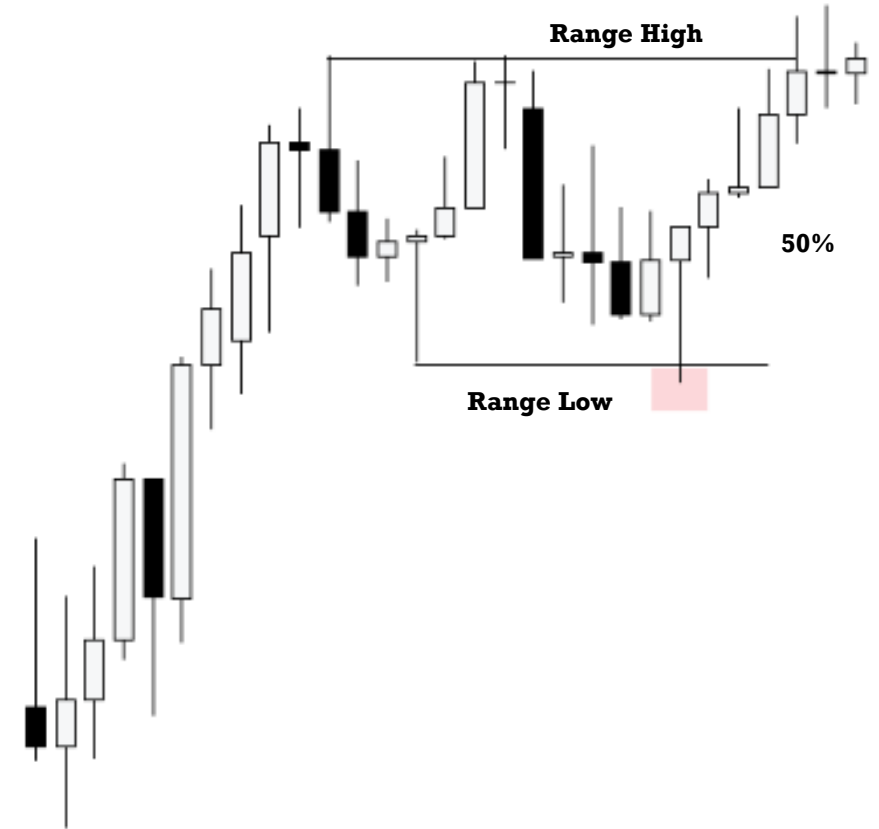
BEARISH

Draw on Liquidity (DOL)

Range + bullish order flow



=

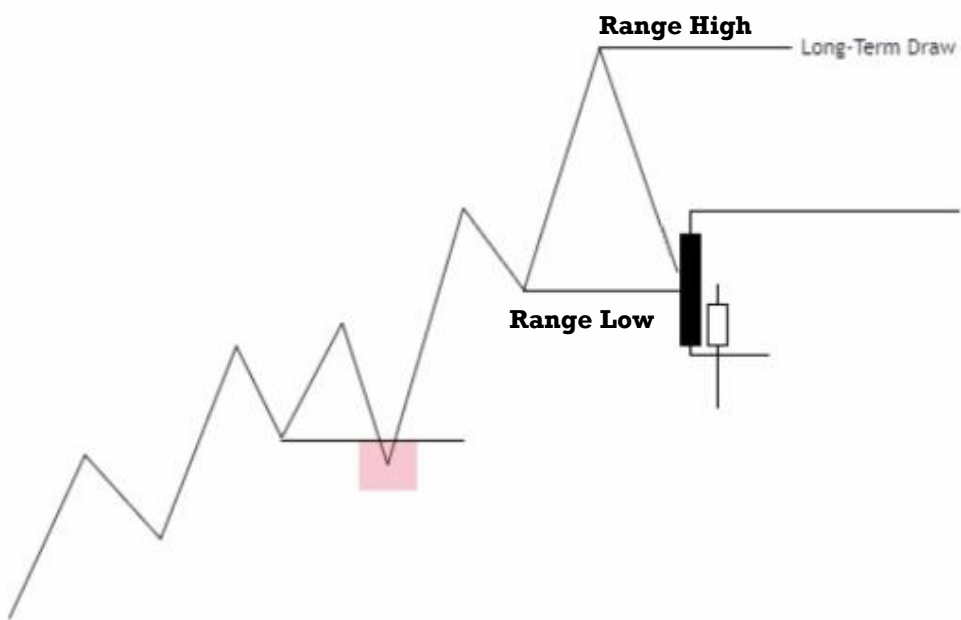


BULLISH

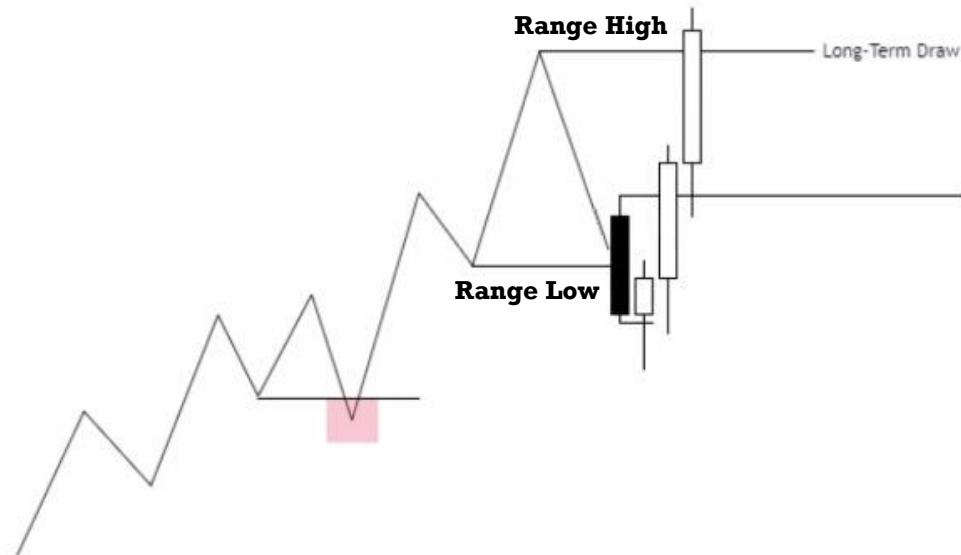
Draw on Liquidity (DOL)

Range + order flow + CRT

20

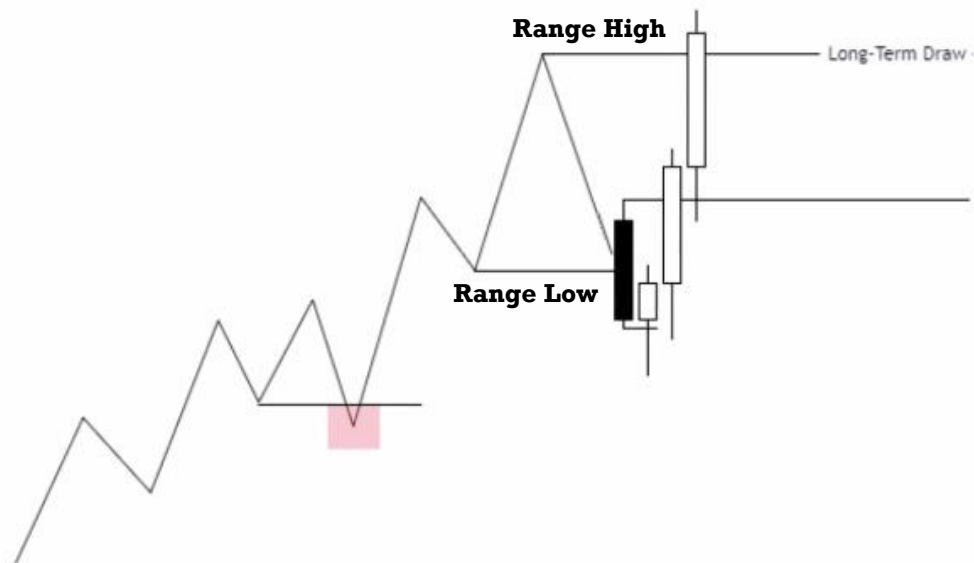


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Draw on Liquidity (DOL)

Range + order flow + CRT + KEY LEVEL



=



Draw on Liquidity (DOL)

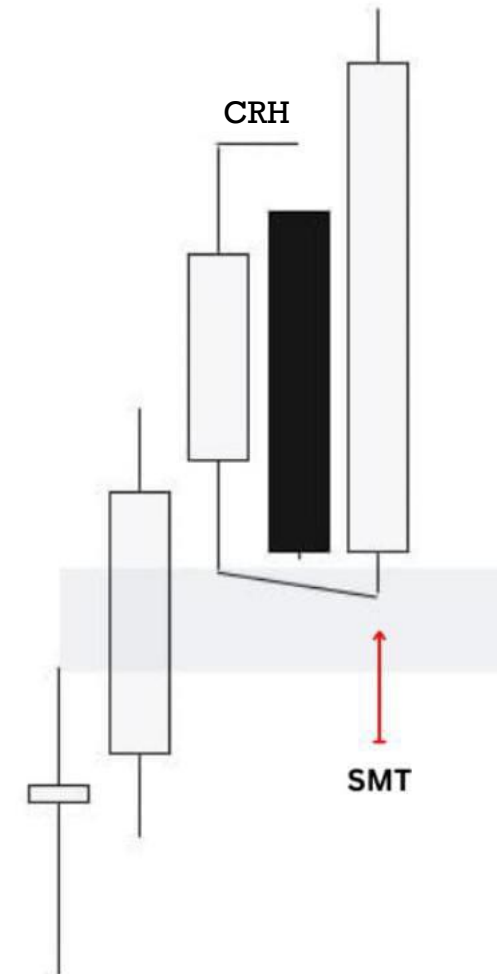
- It can be the following different forms :

4. IRL TO ERL / ERL TO IRL

INTERNAL RANGE LIQUIDITY = FVG/IFVG/ORDERBLOCK.

EXTERNAL RANGE LIQUIDITY = SWING HIGHS / SWING LOWS

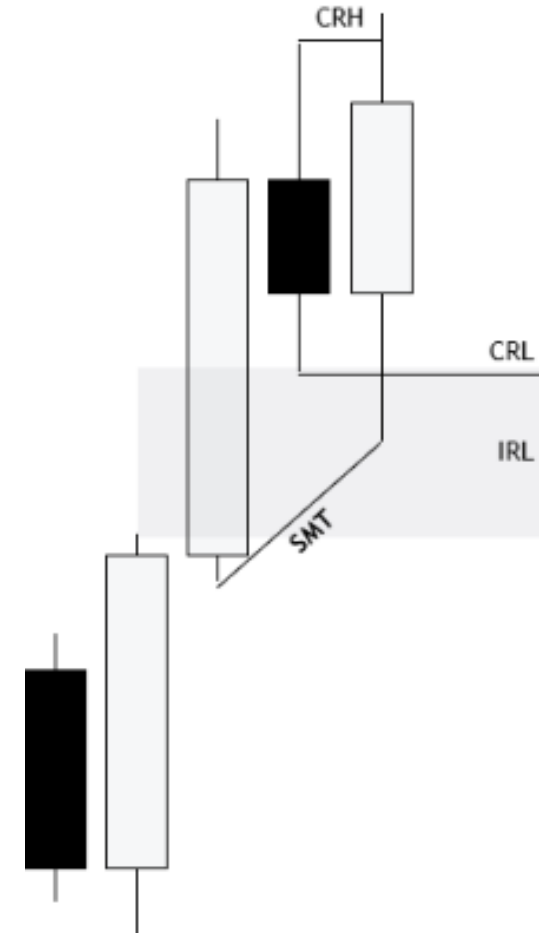
For IRL and ERL, the most important thing is **CRT/SMT**. If the market is moving from IRL to ERL or ERL to IRL, having **CRT/SMT** is essential.



Draw on Liquidity (DOL)

IRL ERL + CRT + SMT

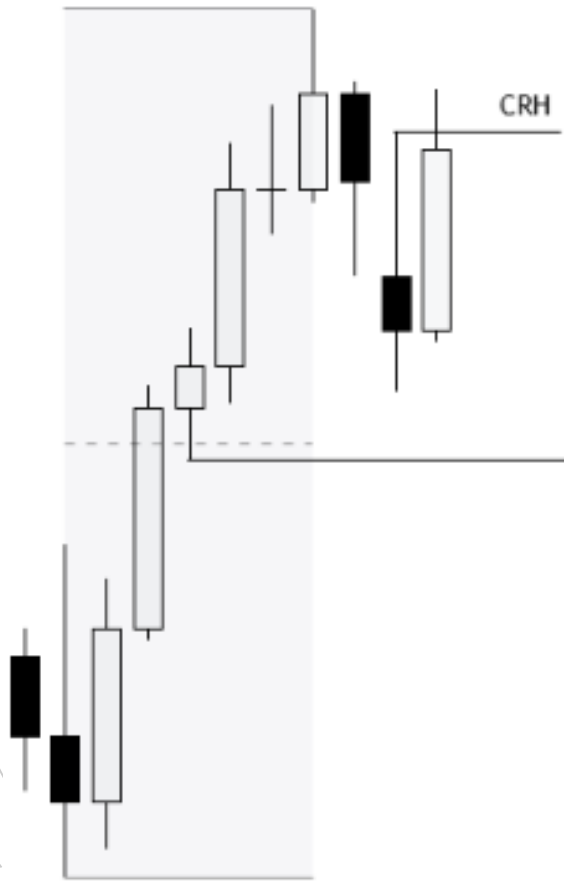
When the market taps into IRL, we need to wait for two important things. **first**, that CRT is forming within the IRL, and **second**, that SMT is present within the IRL. If both conditions are met, then your first DOL should be the CRT high, and the second should be the ERL (external range liquidity).



Draw on Liquidity (DOL)

$$\text{IRL} + \text{ERL} + \text{CRT} + \text{SMT} + \text{PREMIUM \& DISCOUNT}$$

- Always sell in the premium and buy in the discount. In this case, we're in the premium zone, so our short-term DOL will be the discount FVG (IRL)



- When the market reaches the discount zone and forms SMT and CRT within this FVG (IRL), then our first DOL is the CRT high, and the second DOL is the Old high (ERL)

